Advanced Reporting & Performance

Consolidation workshop



Introduction

Expectations for the day

- Ask questions!
- Have all materials on hand (including laptop, course materials, calculator, pen, etc)
- Active participation expected in class
- Professionalism
- No phones during class time
- Be on time

Timetable

- Class starts at 09:30 – please ensure you are in class and ready to start
- Morning break – 15 minutes
- Lunch – 1 hour
- Afternoon break – 15 minutes

Introduction

Modules covered in workshop 1

- Module 1 Presentation and disclosure of financial statements
- Module 2 Assets
- Module 3 Liabilities

Modules to cover prior to workshop 2

- Module 5 Financial instruments
- Module 6 Consolidation
- Module 7 Statement of Cash Flows

Introduction

Modules to cover prior to workshop 3

- Module 4 Income and expenditure
- Module 8 Non-financial reporting: Sustainability disclosures
- Module 9 The relationship between financial and non-financial reporting

Module 7

Company cashflows

Operating, investing and financing activities

Definitions

Operating activities
This section relates to the principal revenue-producing activities of the entity.

Financing activities
This section relates to any activities that result in changes in the size and composition of the equity capital and borrowings of the entity.

Investing activities
This section relates to the acquisition and disposal of non-current assets and other investments not included in cash equivalents.

Statement of Cash Flows (SOCF)

Assessment tips

- IFRS Standard Part B sets out illustrative examples of a SOCF using the direct and indirect method
- The book can help in the assessment to remind you of:
    1. The required layout of the SOCF
    2. What is included in operating, investing and financing activities
    3. Whether an item is added or subtracted (useful for the working capital movements)

- Ensure to highlight this section of your textbook so you can refer to it in the assessment

- **Both direct and indirect methods are assessable**

Statement of Cash Flows (SOCF)

Operating activities – indirect method

Operating profit	XX
Adjustments for non-cash items	
Depreciation	XX
Amortisation	XX
Impairments	XX
Operating profit before depreciation and amortisation	XX
Adjustments from movements in working capital	
(Increase)/decrease in inventories	(XX)/XX
(Increase)/decrease in trade and other receivables	(XX)/XX
Increase/(decrease) in trade and other payables	XX/(XX)
Increase/(decrease) in provisions	XX/(XX)
Cash from operating activities before income taxes	XX/(XX)
Income taxes paid	(XX)
Net cash from/(used in) operating activities	**XX/(XX)**

Statement of Cash Flows (SOCF)

Operating activities – direct method

Cash flows from operating activities	
Cash receipts from customers	X
Cash paid to suppliers and employees	(X)
Cash from operating activities before income taxes	X
Income taxed paid	(X)
Net cash generated from / (used in) operating activities	X

Statement of Cash Flows (SOCF)

Cash flows from investing activities	
Acquisition of PPE	(XX)
Acquisition of intangible assets	(XX)
Acquisition of any other non-current assets	(XX)
Proceeds on sale of PPE	XX
Proceeds on sale of held for sale assets	XX
Proceeds on sale of intangibles	XX
Proceeds on sale of any other non-current assets	XX
Interest received	XX
Dividends received	XX
Net cash used in investing activities	**(xx)**

Tutor tip: Interest received and dividends received will always be shown in investing activities

Statement of Cash Flows (SOCF)

Cash flows from financing activities	
Proceeds from issue of new shares	XX
Proceeds from increase long-term borrowing	XX
Cash outflow from share buy-backs	(XX)
Capital repayments of lease liability	(XX)
Capital repayments of long-term borrowings	(XX)
Interest paid	(xx)
Dividends paid	(XX)
Net cash generated from/used in financing activities	**XX/(XX)**

Tutor tip: Interest paid and dividends paid will always be shown in financing activities

Statement of Cash Flows (SOCF)

Individual activity: Module 7 APQ 1 Requirement 1

Statement of Cash Flows (SOCF)

Tutor debrief

Statement of Cash Flows (SOCF)

Individual activity: Module 7 APQ 1 Requirement 2

Statement of Cash Flows (SOCF)

Tutor debrief

Module 6

Consolidation



Consolidation

Pre-consolidation step 1

Translate the financial statements to presentation currency (Foreign subsidiaries)

Pre-consolidation step 2

Calculate and recognise exchange differences on translation (Foreign subsidiaries)

Step 1

Aggregate the parent's and subsidiary's SOFP and SPLOCI on a line-by-line basis

Consolidation

Step 2

Prepare and post the journal entry to record the acquisition of the subsidiary

Account for any acquisitions in stages (extra calculation / journal for any additional investments after the company became a subsidiary – acquisition in stages)

Step 3

Prepare and post a journal entry to record any impairment of goodwill

Step 4

Allocate share of subsidiary's historical profit/loss and other gains/losses to NCI

Consolidation

Step 5

Allocate share of subsidiary's current year profit/loss and other gains/losses to NCI

Step 6

Eliminate intercompany transactions and other adjustments

Step 7

Disposal of subsidiary

FINAL STEP

Transfer of adjustments to profit or loss to retained earnings

Consolidation – Step 2 – Types of consideration

Immediate cash payment

- Measured at cash amount

Deferred cash payment

- Payment deferred to a later date
- Discounted to present value at acquisition date

Share issued by the acquirer

- Acquirer issues shares to the previous shareholders
- Measured at fair value (market price) of the shares issued at the acquisition date

Consolidation – Step 2 – Types of consideration

Debt instruments (e.g. bonds) issued by the acquirer

- The acquirer issues a debt instrument to the previous shareholders
- Measured at fair value of the debt instrument at the acquisition date

Non-monetary asset transferred by the acquirer

- The acquirer transfers one of their assets to the previous shareholders
- Measured at fair value of the asset transferred at the acquisition date

Contingent consideration – new in ARP

- Acquiring company agrees to transfer additional consideration (cash, shares or debt instruments) in the future if certain events or conditions are met.
- Measured at the fair value of the consideration at the acquisition date
- Contingent cash and debt instruments are remeasured to fair value at each reporting date
- Contingent shares are not remeasured subsequently

Consolidation – Step 2 – FV of net assets

Subsidiary's separate financial statements adjusted prior to consolidation

- The subsidiaries financial statements do not reflect the requirements of IFRS (i.e. subsidiaries financial statements are incorrect)
- Examples: Impairment of PPE has not been included in subsidiaries financial statements
- You may be asked for the journal to correct the subsidiaries financial statements prior to consolidation

Adjustments made as part of the acquisition journal

- The subsidiaries financial statements DO reflect the requirements of IFRS but when consolidated the fair value is used
- Examples: Inventory is measured at cost (which is the lower of cost and NRV) in the subsidiary's financial statements. The fair value is higher and it must be measured at fair value in the consolidated financial statements.

Both of these fair value adjustments need to be taken into account when calculating the fair value of net assets acquired.

Consolidation – Step 6

Intercompany transactions

- Intercompany balances / loan balances
- Intercompany trading and unrealised profits
- Intercompany sale of non-current assets
- Intercompany management charge / sales and purchases
- Intercompany dividends

FV adjustments (as a result of FV adjustments in step 2)

- Fair value increases for consolidation purposes only may require further adjustments. These are completed within Step 6 of the consolidation.
- May include increasing depreciation, eliminating the increase in inventory value, amortisation for a previously unrecognised intangible asset.
- NCI should be allocated their share of the profit / loss

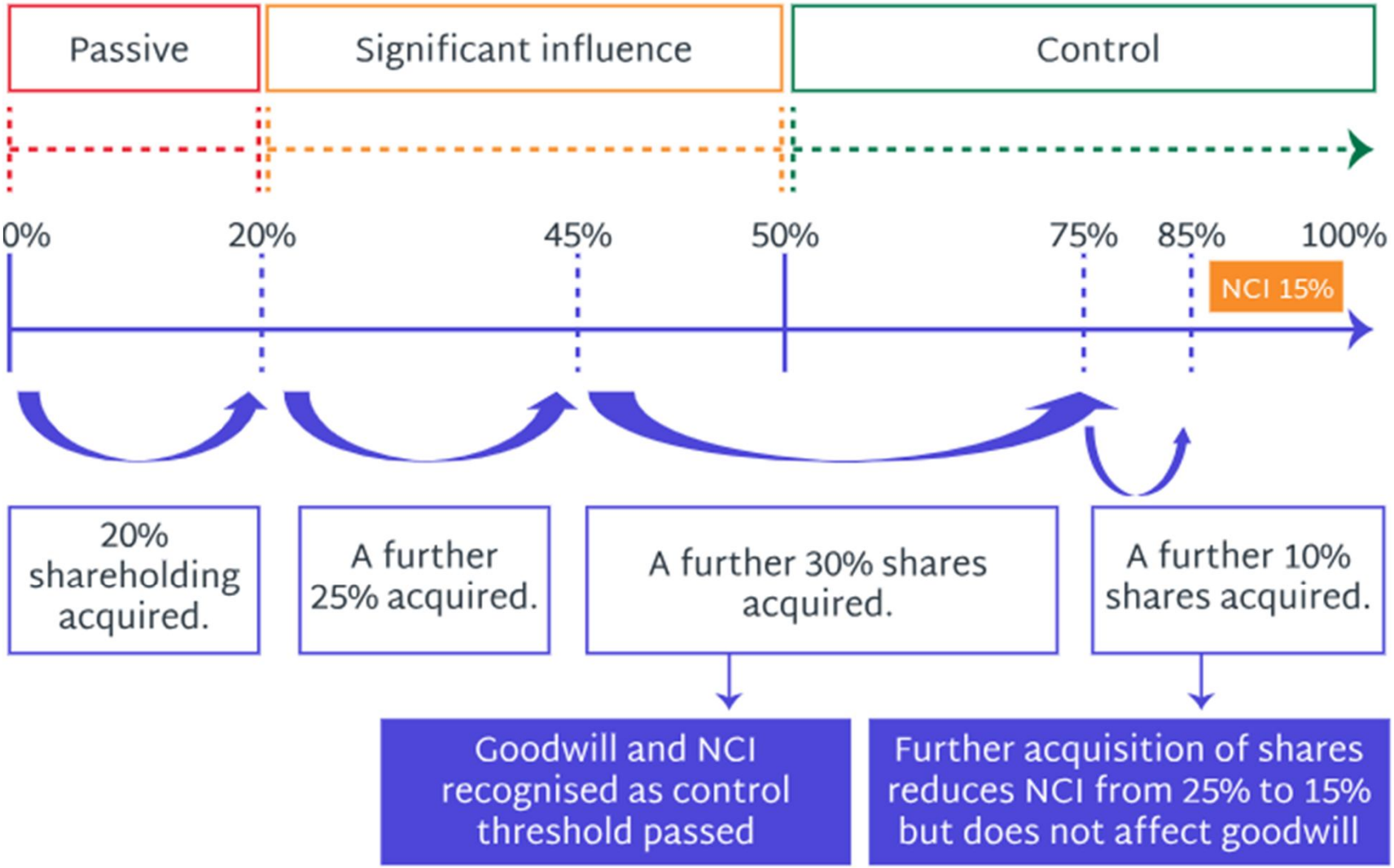
Consolidation – disposal of subsidiary

Types of disposals:

- Full disposal
- Partial disposal (control retained)
- Partial disposal (significant influence or joint control retained)
- Partial disposal (financial asset retained)

In the ARP assessment, you can only be asked to account for a full disposal or a partial disposal where control is retained

Consolidation - acquisition in stages



Consolidation - foreign subsidiaries

Some key points for the ARP assessment:

Translate the SPL at the average rate for the period.

Translate the SOFP at the closing rate.

Exchange differences are not recognised in profit or loss. The cumulative amounts of the exchange difference are recognised in equity (translation reserve).

The translation reserve is a post-acquisition reserve and part of it must be allocated to the NCI.

For the ARP assessment, all foreign subsidiaries will be acquired in the current accounting period.

Consolidation

Individual activity: Module 6 APQ 1

Consolidation

Tutor debrief

Associates and joint ventures – equity method

STEP 1

Adjust for any gain on a bargain purchase

STEP 2

Allocate share of associate's historical profits/losses and other gains/losses to the group

STEP 3

Allocate share of associate's current year profits/losses and other gains/losses to the group

STEP 4

Eliminate group share of intercompany transactions

FINAL STEP

Transfer adjustments to profit or loss to retained earnings

Associates and joint ventures

Individual activity: Module 6 APQ 12

Associates and joint ventures

Tutor debrief

Module 3

Deferred tax



Deferred tax

Deferred tax is an accounting adjustment to recognise, now, amounts that will increase or decrease the tax charge in the future.

Steps to calculating deferred tax:

Step 1: Determine the carrying amount of the asset or liability in the SOFP.

Step 2: Determine the tax base.

Step 3: Calculate the temporary difference as the difference between the carrying amount and tax base. This may be a taxable temporary difference or a deductible temporary difference.

Step 4: Apply the relevant tax rate to the temporary difference to calculate the deferred tax liability (for a taxable temporary difference) or deferred tax asset (for a deductible temporary difference).

Step 5: Recognise and disclose the deferred tax in the financial statements.

Deferred tax – Step 2 Tax base

Tax base of an asset (IAS 12 paragraph 7)

The amount that will be deductible for tax purposes against economic benefits when the company recovers the carrying amount of the asset.

If those economic benefits are not taxable, the tax base is equal to the carrying amount of the asset.

Tax base of a liability (IAS 12 paragraph 8)

The carrying amount of the liability less amounts that will be deductible for tax purposes in the future.

Exception: For revenue received in advance, the tax base is the carrying amount of the liability less revenue that will not be taxable in the future.

Deferred tax – Step 2 Tax base

Asset example

Trade receivables are £230,000 and the related revenue has already been included in taxable profit.

When the carrying amount of the receivable is recovered the £230,000 economic benefits received will not be taxable (because they have already been taxed as revenue in current SPL).

Therefore, the tax base is equal to carrying amount at £230,000.

Deferred tax – Step 2 Tax base

Liability example

An accrual has a carrying amount of £5,000 and the related expense will benefit from tax relief when paid.

The tax base is equal to the carrying amount of the loan (£5,000) less amounts that will be deducted for tax in the future (£5,000).

Therefore, the tax base is £nil.

Deferred tax – Step 3 Temporary difference

A temporary difference is calculated as the difference between the carrying amount and the tax base. Where the tax base is equal to the carrying amount there is no temporary difference and no deferred tax.

Temporary differences may be taxable or deductible.

- A **taxable** temporary difference results in additional taxable amounts and therefore more tax payable in the future when the carrying amount of an asset or liability is recovered or settled – result in a deferred tax liability.
- A **deductible** temporary difference results in less tax payable in the future when the carrying amount of an asset or liability is recovered or settled. This may be because there are greater deductions from taxable income in the future or it may be because related tax has already been paid – result in a deferred tax asset.

(IAS 12 Paragraph 5)

Deferred tax – Step 3 Temporary difference

When deciding whether a temporary difference is taxable or deductible, a rule of thumb that can be applied is as follows:

	Asset in SOFP	**Liability in SOFP**
Carrying amount > tax base	Taxable temporary difference	Deductible temporary difference
Carrying amount < tax base	Deductible temporary difference	Taxable temporary difference

Deferred tax – Step 4 & 5 Apply the relevant tax rate

Step 4: Apply the relevant tax rate

Taxable temporary differences x tax rate % = Deferred tax **liability**

Deductible temporary difference x tax rate % = Deferred tax **asset**

The question will give you the relevant tax rate %

Step 5: Recognise and disclose deferred tax

Prepare the journal entries and disclosure (be careful if you have an opening deferred tax liability or asset)

Deferred tax – Common scenarios

	Carrying amount	Tax base
PPE at cost	Cost less accumulated depreciation (as per IAS 16)	Cost less capital allowances (tax written down value: TWDV)
PPE at valuation	Revaluation increase	Nil
Rollover / holdover relief	Rolled over gain	Nil
Pension assets / liabilities	Pension surplus / deficit	Nil
Cash-settled share-based payments (Module 4)	Carrying amount as per IFRS 2 (Module 4)	Nil (for liability settled after 9 months) (Module 4)

Deferred tax

Individual activity: Module 3 APQ 10

Deferred tax

Tutor debrief

Disclosure notes

Disclosure notes

In the ARP assessment, you could be asked to construct the following disclosure notes:

- Property, plant and equipment
- Borrowing costs
- Investment property
- Non-current assets held for sale
- Leases
- Intangible assets
- Impairment of assets
- Provisions

Disclosure notes

In the ARP assessment, you could be asked to evaluate the adequacy of disclosure notes for the following:

- Inventories
- Financial instruments
- Share capital
- Share based payments
- Income taxes
- Employee benefits
- Contingent liabilities
- Contingent assets
- Events after the reporting period
- Revenue
- Foreign currency transactions

Disclosure notes

In the ARP assessment, you could be asked:

- Advise on the identification of related parties in accordance with IAS 24 Related Party Disclosures and construct any necessary disclosures.
- Advise on the disclosures required for directors' remuneration and construct any necessary disclosures
- Advise on distributable profits and calculate the amount of distributable profits in non-complex situations.
- Advise on the main requirements for interim reports
- Advise on the accounting treatment for discontinued operations in accordance with IFRS 5 Non-current Assets Held for Sale and Discontinued Operations

Disclosure notes

Individual activity: Directors' Remuneration

Disclosure notes

Tutor debrief

Wrap up



What comes next?

Workshop 3

- Modules 4, 8, 9

Mock

- Released on Monday of week 8
- Latest you can start mock is 10am on Thursday of week 8
- Mock can cover all modules in the ARP course

Drop in session

- Friday of week 9
- Can drop in as required and ask the tutor any questions

Final assessment

- Thursday of week 10

Study tips

- Create a study plan ensuring you incorporate time for the following for ALL modules:
    1. Completed the content in the VLE if not already done so
    2. Completed all of the practice activities in the lessons
    3. Completed all skill-builder questions
    4. Completed all assessment practice questions – these are similar in style and difficulty to questions in the final assessment.
    5. Complete all additional practice questions

- Use the Study Guide summaries as a starting point for your own notes.
- Question practice is KEY!!
- Reflect on your question practice and mock assessment results – identify gaps in your knowledge

Assessment tips

- Read the questions carefully and fully
    1. Are you being asked to provide explanations, prepare journal entries, calculations or workings, prepare financial statements or extracts?
    2. Have you been provided with an excel resource?
    3. Often best to read the first paragraph of the question, then the requirements and finally the rest of the question / appendices. Allows you to actively look for key information to answer the question on your first read through.

- Manage your time carefully
    1. The assessment is 3 hours with 100 marks available.
    2. You should allow 1.8 minutes per available mark.
    3. Stick to the time allocated for each question and move on if you don't know how to do something.

Assessment tips

- Choose the order in which you answer the questions – we recommend that you start with the ones you are most familiar with and leave the ones you are less familiar with or more complex questions to the end

- You will not be penalised for rounding but ensure you label clearly.

- Review you answers prior to submitting your assessment
    1. No negative marking - you will not be deducted marks for writing an incorrect answer
    2. If you make an error in your workings, you will not be penalised twice, so long as you continue with your workings in the correct accounting treatment, you will receive credit for your workings.

Assessment tips

- Practice, practice, practice
    1. When completing practice questions, use a word document as this will be similar to the ICAS assessment platform.
    2. Alternatively, you could practice questions within the practice question within the ICAS assessment platform – this will give you experience of using the assessment platform to type your answers
    3. Practice how you will perform calculations and present these in the assessment.
    4. Practice writing out the narrative questions.
    5. Practice using your permitted materials (mainly the IFRS Accounting Standards).
    6. Practice answering questions under timed conditions.

Getting help

Skills technical queries

- Class tutors
- Discussion boards

Administrative queries

- students@icas.com

Questions?

